



IN TUNE WITH TIMES:
Muscovites want the best of the West

MOSCOW IS PROBABLY THE COSTLIEST CITY IN the world. Real estate prices have skyrocketed, restaurants have atrociously-priced menus and taxis are a scam.

Putin then set about taming the warring Republics and brought them under Kremlin control. With Yeltsin famously saying that these Republics can take, "as much sovereignty as they can swallow", Moscow had little control over their affairs and many of them, like Chechnya, were on the brink of secession. Putin sent Russian troops into Chechnya almost razing its capital Grozny to the ground. Chechen terrorists struck back though, by first holding theatre-goers hostage in Moscow and then students in a Beslan school that resulted in the horrific death of over 344 people, mostly children. But after the Russian army wiped out the Chechen leadership with precision strikes, Putin brought in a governor friendly to Kremlin and regained control over the Republic. He used the Beslan tragedy to have Kremlin-appointed governors run the federal subjects including 21 Republics and 46 provinces. The oil boom helped him turn around the econ-

omy and make Russia a wealthy nation again.

In his elaborate wood-panelled office, Yuri P. Trutnev, Minister for Natural Resources and a yoga enthusiast like Medvedev, believes Putin's biggest contribution was, "to bring political and economic stability to Russia which resulted in the federation becoming once again among the 10-most highly developed countries in the world." A former governor of Perm and part of Putin's handpicked inner team, Trutnev compares his country's rapid economic development in recent years to that of India and believes that Russia is over the hump. He believes that Medvedev is on the right path by emphasising on the development of small and medium scale industries in the country.

Weaning Russia away from its overdependence on oil revenue is going to be one of Medvedev's main economic tasks. Part of the focus would have to be to make Russia's aging defence and space industries competitive again. India, which is a major buyer of its defence equipment has increasingly been complaining of poor quality, delayed delivery and atrocious after-sales service. Russian defence expert Viktor Litovkin believes that the 15-year slump after the fall of the Soviet Union saw its defence establishment lose the technological edge that it enjoyed earlier. Putin had already made mod-



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"A decade ago we didn't like our skin, history and country. Today we are happy, because of the money."